



OptiGuard: Series A Term Sheet Analysis & Recommendations

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Source: [Optiguard calculation sheet](#)

OptiGuard at a Glance

Strong technology.
Weak cash position.

- Unique "last-two-feet" cybersecurity technology addressing visual eavesdropping
- Seed round valuation: \$4.04M post-money

Monthly burn rate: ~\$200k with less than 3 months runway

- Bridge loan exposure: \$350k borrowed, \$700k repayment obligation if Series A fails
- Result: Minimal negotiating leverage despite compelling product vision



Is OptiGuard attractive to Investors?

1

Market Growth

Cybersecurity market rising: **\$55B**
→ **\$70B** (2015–2019)

2

Unique Position

No direct competitor solving
visual eavesdropping

3

Pipeline

Early pilots in healthcare (credible
pipeline)

Attractive product, distressed seller

BUT: liquidity crisis, no VC momentum, bridge debt pressure

Investor view: High tech promise, high founder desperation → investor-friendly pricing



Series A Term Sheet Evaluation

Economics heavily favor WVP



Liquidation Preference

- **1× participating preferred**
- **Double-dip, uncapped** → WVP gets **\$5.7M first**, then also pro-rata share
- Most investor-favorable term



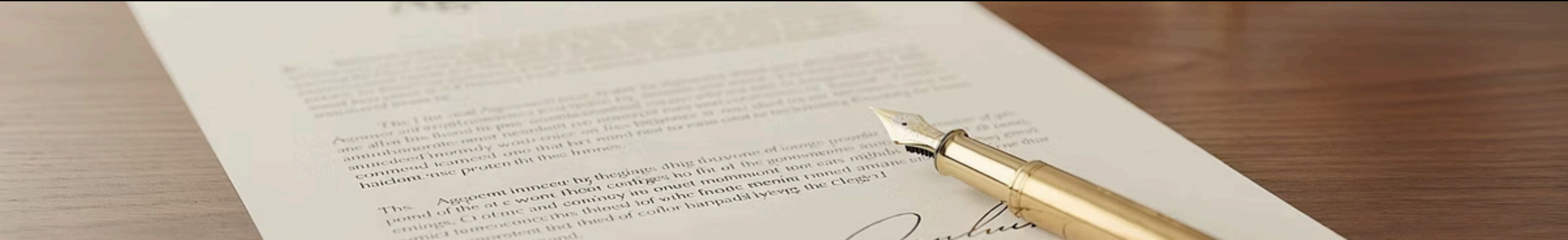
Anti-Dilution

- **Broad-based weighted average**
- Strong protection for WVP in down-round (**Series B @ \$3**)



Dividends

Non-cumulative, only if declared → neutral



Term Sheet Evaluation (Control + Founder Terms)

Control shifts subtly toward WVP

Board

4 Common vs 3 Preferred → founder majority *on paper*

But protective provisions + redemption weaken real control

Vesting

Full **36-month reset** on all founder/common shares

Company can repurchase unvested shares → major founder concession

Redemption

Year 6: WVP can demand redemption

Failure triggers **board control shift** to WVP

📌 **Overall:** Economically very VC-leaning; governance superficially balanced but structurally favors WVP.

Valuation Summary

Before Series A
Post-money: \$4.04M (seed)

1

2

Series A (WVP)

- **Pre-money: \$8.19M**
- **Post-money: \$13.89M**
- WVP ownership: **41%**
- Founders: **75% → ~44%**

Takeaway: Founders give up **half the company in one round** to stay alive.



\$7.8M Series B Impact

Impact depends entirely on round price

Up-Round (\$8/share)

- New investor: ~**21.9%**
- WVP diluted **41%** → ~**32%**
- Value of WVP stake rises to ~**\$11.4M**

Down-Round (\$3/share)

- New investor: ~**41.6%**
- WVP diluted → ~**25.6%**, but
- **Anti-dilution boosts WVP shares** → softens dilution
- Founders hit hardest

Conclusion: WVP remains protected; founders absorb the major damage.

\$15M Exit After Series B

Exit: **\$15M**

Assumption: Series B investor is on conventional (**non-participating**) terms

Preference stack: **\$13.5M** (Series B **\$7.8M** + WVP **\$5.7M**)

Remainder: **\$1.5M**



Participating preferred (WVP term)

- WVP gets: **\$6.37M**
- Series B gets: **\$7.80M**
- All common combined: **\$0.83M**



Conventional (non-participating)

- WVP gets: **\$5.70M**
- Series B gets: **\$7.80M**
- Common group gets **\$1.50M**

Effect: Participation gives WVP **+\$0.67M** more at \$15M exit. Small in absolute terms *after Series B*, **but still reduces founder upside. If Series B investor is also on participating preferred term, remaining value for common will be further reduced.**

Recommendation: Accept → but negotiate 3 critical terms

Must accept:

- Immediate cash need
- Bridge loan triggers (\$700k)
- No alternative VC

Negotiate:

1. **Cap or remove participation** (target 1× non-participating or 2× cap)
2. **Relax vesting reset** (credit prior years)
3. **Modify redemption triggers** (delay or soften board takeover rights)

Goal: Secure survival *without* giving away all medium-exit upside.

Thank You..